

AEN Stable-Factor Model: BTP Italia

Variable	Coefficient	t-stat	p-value
α	+1.62***	3.71	0.00
ILLIQ	+0.88***	3.81	0.00
UMD _{EU}	+0.05***	4.49	0.00
SMB _{EU}	-0.05**	-2.43	0.02
BAB _{US}	-0.04**	-2.49	0.01
BTP _{BUND}	+0.00**	2.07	0.04
TERM _{EU}	-0.02**	-2.38	0.02
CREDIT _{EU}	+0.04	0.09	0.93
SS10Y	-0.02***	-3.26	0.00

Model fit	
T (obs)	158
k (factors)	8
R^2	0.2858
R^2_{adj}	0.2474
Durbin-Watson	2.0553
F-stat	7.4518
p(F)	0.0000

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- ILLIQ: Change in the Amihud illiquidity shock measure.
- UMD_{EU}: European equity momentum factor (winners – losers).
- SMB_{EU}: European equity size factor (small – big caps).
- BAB_{US}: US betting-against-beta factor (low – high beta).
- BTP_{BUND}: Italian sovereign risk (10Y BTP – Bund yield spread).
- TERM_{EU}: Euro term premium (long-term Bund excess return over German bill).
- CREDIT_{EU}: Euro credit spread factor (BBB – AAA bond yield).
- SS10Y: 10Y EUR swap spread (par swap rate – 10Y Bund yield).

Amihud and Mendelson (2015)
Carhart (1997)
Fama and French (2017)
Frazzini and Pedersen (2014)
Fausch and Sigonius (2018)
Fama and French (1993)
Fama and French (1989)
Collin-Dufresne et al. (2001)

AEN Stable-Factor Model: CDS–Bond Basis

Variable	Coefficient	<i>t</i> -stat	<i>p</i> -value
α	+5.82***	5.40	0.00
EBP	+0.27**	2.23	0.03
CRED _{SPR_US}	-0.59**	-2.04	0.04
TERM _{US}	+0.08***	2.71	0.01
RI _{EU}	+0.09	1.22	0.22
PB _{EU_CDS_1Y}	+0.02	1.50	0.13
SMB _{EU}	+0.05	1.41	0.16
SS10Y	+0.02**	2.34	0.02
DEF _{US}	+0.11***	3.83	0.00

Model fit	
<i>T</i> (obs)	201
<i>k</i> (factors)	8
<i>R</i> ²	0.2518
<i>R</i> _{adj} ²	0.2206
Durbin–Watson	1.7658
<i>F</i> -stat	8.0772
<i>p</i> (<i>F</i>)	0.0000

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- EBP: Excess bond premium: corporate spread net of expected default.
- CRED_{SPR_US}: US credit spread factor (Moody's BAA – AAA yield).
- TERM_{US}: US term premium (long-term gov. bond excess return over T-bill).
- RI_{EU}: Euro investment-grade industrial bond return factor.
- PB_{EU_CDS_1Y}: European prime broker 1Y CDS spread (counterparty risk).
- SMB_{EU}: European equity size factor (small – big caps).
- SS10Y: 10Y EUR swap spread (par swap rate – 10Y Bund yield).
- DEF_{US}: US default factor (corporate – gov. long-term bond return).

Gilchrist and Zakrajsek (2012)
Fama and French (1989)
Fama and French (1993)
Collin-Dufresne et al. (2001)
Klaus and Rzepkowski (2009)
Fama and French (2017)
Collin-Dufresne et al. (2001)
Fama and French (1993)

AEN Stable-Factor Model: iTraxx Combined

Variable	Coefficient	t-stat	p-value
α	+1.86***	2.59	0.01
EP _{SVIX_1M}	+3.08	1.15	0.25
LIBOR _{REPO_SHOCK}	+0.55***	2.87	0.00
SILLIQ	+0.01*	1.94	0.05
EP _{SVIX_3M}	+1.95	1.06	0.29
UF	-1.26	-0.86	0.39
TED _{SHOCK_EU}	+0.56**	2.41	0.02
R10 _{EU}	+0.17	1.25	0.21

Model fit

T (obs)	237
k (factors)	7
R^2	0.2070
R^2_{adj}	0.1828
Durbin–Watson	1.8400
F -stat	8.5403
$p(F)$	0.0000

(α) annualized %.
 *** $p < 1\%$, ** $p < 5\%$,
 * $p < 10\%$.

- EP_{SVIX_1M}: Option-implied equity premium via SVIX, 1-month horizon. *Martin (2017)*
- LIBOR_{REPO_SHOCK}: Dollar funding liquidity shock (LIBOR – GC repo, AR(2) res.). *Asness et al. (2013)*
- SILLIQ: Stock-market illiquidity innovation (AR(3) residual). *Acharya et al. (2013)*
- EP_{SVIX_3M}: Option-implied equity premium via SVIX, 3-month horizon. *Martin (2017)*
- UF: Change in financial uncertainty index. *Ludvigson et al. (2021)*
- TED_{SHOCK_EU}: Euro interbank funding shock (Euribor – German Bill, AR(2) res.). *Asness et al. (2013)*
- R10_{EU}: Euro 10Y government bond return factor. *Cochrane and Piazzesi (2005)*